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Introduction to Management

MGNT110

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Change and Innovation

Lecture 9



Learning Objectives

- What is change?
- How do people react when required to change?
- What are some of the challenges of managing organizational change?
- What are three types of change?



What is change?

- A transition that occurs from one stable state to another
- Change is all that there is



What is change?

- **A transition from one stable state to another**

- an organisation is stable
- then something changes
- then it becomes stable again
- Example:
A company uses an old software system, switches to a new one, and then settles into a new normal.

- **Change is all that there is**

- organisations are never fully stable. They are always moving, adjusting, and evolving.
- Example:
 - A company is constantly dealing with:
 - market shifts
 - new technology
 - staff turnover
 - customer feedback
 - competitive pressure



Source: Andrews McMeel Syndication

- Organisations often want employees to “embrace change,” but may not spend enough time making the change meaningful or sensible.
- Good change management is not forcing acceptance. It is designing and communicating change in a way people can understand and work with.

What are some of the conundrums of organisational change?

- Change is a complex process that it is not possible to fully control or predict.
- Uncertainty of change stimulates demand for simple recipes that provide assurances that there are techniques for successful change.
- Organisational change often characterized as a movement from a present to a future (desired) state that generally unfolds in unexpected ways (whether planned for or not).

Philosophy of change: Parmenides vs Heraclitus



Philosophy Of Change: Reality Is Essentially Fixed

- Parmenides (b.515 BCE) argued that reality is fixed and static. Change is simply an illusion.
- Tradition adopted in the West through Democritus (b. circa 460 BCE), emphasised permanence, stability, equilibrium.

Meaning for management

- This view treats organisations as basically stable systems. Change is seen as:
 - unusual
 - disruptive
 - temporary
- something to manage and then return to stability
- This thinking supports structured, planned change models.



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Philosophy of Change: Reality Is Constantly Changing

- Heraclitus argued that reality is in a continuous state of becoming, flux and change
- A view more accepted in the East
Heraclitus (c.540-480 BC)

Meaning for management

- If reality is always changing, then organisations are not fixed things that occasionally shift. They are ongoing processes.
- This means managers should expect:
 - instability
 - movement
 - adaptation
 - ambiguity



"No man ever steps in
the same river twice"



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Upon returning to a river, new water has flowed in, making it a different river, and the person, having experienced time, is not the same person.



"No man ever steps in the same river twice"

Do you see organisations as stable things that occasionally shift, or as processes that are always evolving?



The Classic Debate

Parmenides

Organisations are stable:

- Prefer planned change
- Focus on restoring order

Heraclitus

Organisations are always evolving:

- Focus on adaptation
- Accept uncertainty
- Expect change to be continuous



Three main theories of change

- Incremental model of change
- Punctuated equilibrium
- Continuous transformation



Incremental change

- **Incremental change means:**
 - one problem at a time
 - one goal at a time
 - small gradual improvements over time
- **Characteristics**
 - low drama
 - steady progress
 - manageable steps
 - often less resistance
- **Example**
- A company slowly improves customer service by:
 - training staff
 - updating scripts
 - refining complaint processes
 - improving response times
 - No single step is huge, but over time the change becomes significant.
- **Strength**
 - Less disruptive and easier to absorb.
- **Weakness**
 - People may not notice the value immediately. It can feel slow.

Workflow Optimization:
A manufacturing team making minor adjustments to an assembly line to reduce bottlenecks or improve, **rather than** replace, existing production processes.

Punctuated equilibrium

- This model says organisations go through:
 - long periods of relative stability
 - followed by short periods of dramatic change or revolution
- **Characteristics**
 - calm for long periods
 - then major disruption
 - then a new stable phase
- **Example**
 - A firm may operate similarly for years, then suddenly:
 - merge with another company
 - restructure
 - digitise operations
 - replace senior leadership
- **Strength**
 - Helps explain major transformations.
- **Weakness**
 - Can be highly disruptive and emotionally difficult.

Technology Firms (e.g. Apple):

Apple often maintains a stable product line (equilibrium) for years, punctuated by sudden, revolutionary product launches (e.g., iPhone) that completely change their business model and market position.

Continuous change

- This model says change is ongoing and never really stops. It is an endless pattern of modifications rather than stable periods interrupted by occasional change.
- **Characteristics**
 - constant adaptation
 - learning in real time
 - no clear beginning or end
- **Example**
 - A tech company that is always:
 - updating platforms
 - responding to users
 - adjusting teams
 - experimenting with new workflows
- **Strength**
 - Matches fast-moving environments.
- **Weakness**
 - Can create fatigue if people feel there is never time to settle.

Technology Firms (e.g. Google, Meta):

They constantly update their software and algorithms, often deploying changes hourly or daily.

Theories of Change Management



Four main approaches:

1. Lewin & Organisational Development (OD)
 - Lewin's Change Model
2. Planned approaches
 - Kotter's 8-Step Model
3. Processual approaches
 - Dawson's Processual Framework
4. Situational approaches
 - Palmer's Images of Change Managers

(Clegg, Pitsis & Mount 2025).

1. Lewin & Organisational Development (OD)

- Focuses on planned, structure change
- Change is something you can prepare for and control systematically

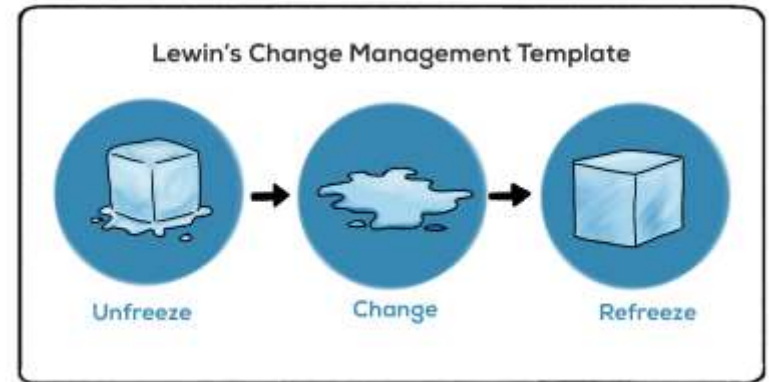
Theory Example:

- Lewin's Model of Unfreezing, Changing, Refreezing



Lewin's Change Model

- **3 Stages:**
- **Unfreeze**
 - Create need for change
 - Minimize resistance
- **Change**
 - Employees learn new attitudes and behaviors
- **Refreeze**
 - Reinforce new practices
 - Positive reinforcement of desired outcomes to promote internalization of new behaviours.
 - evaluation to ensure new ways habitualised.

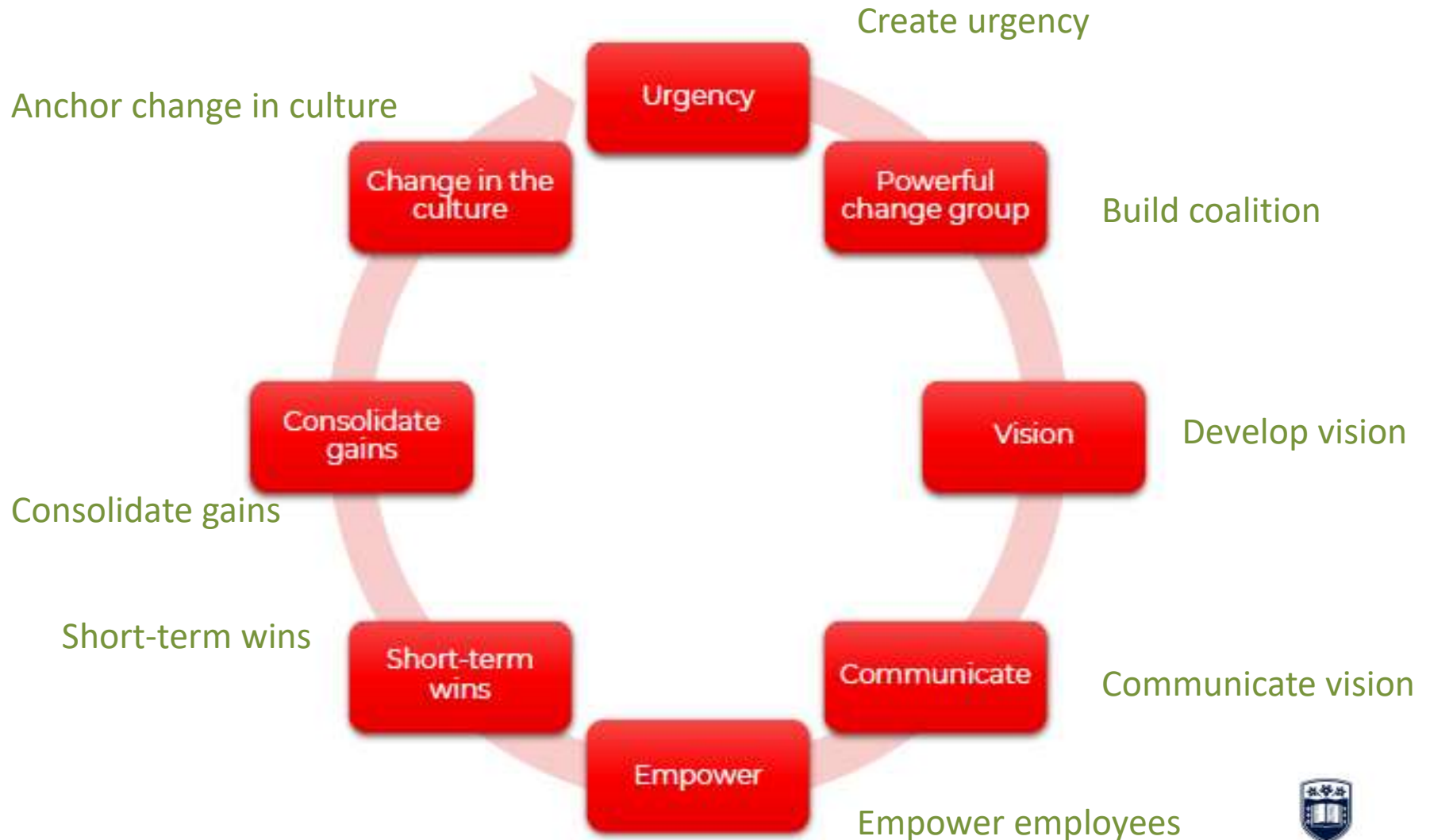


2. Planned Approaches

- Change is rationally planned and controlled
 - Implemented and planned in rational way
- Unfortunate and driven by external forces
- Organisations aim to restore stability
 - Adapt quickly to restore

Theories Example:
- Kotter's 8 step model

Kotter's 8 Step Model of Change



3. Processual Approach

- Change is messy and non-linear
- Happens simultaneously with other changes
 - not pass through neat stages but messy process.
- Political and complex
 - Managing change is difficult, it is often about keeping many things up in the air at the same time, and political.

Theory Example:
Dawson's Processual Framework



Dawson's Processual Framework

- Context (internal & external)
 - Internal: People, leadership, work structures
 - External: Market, economic conditions, political events
- Politics (conflicts, stakeholders)
 - External political activity (e.g. lobbying, alliances, competitors)
 - Internal political activity (e.g. conflict, resistance, negotiation)
- Substance (type, scale, timing)
 - Attitudes and perceptions to change
 - Proactive/reactive
 - Small discrete/large radical change

To understand change, you must study **how it actually happens in real situations**, not just how it is supposed to happen in models.



4. Situational Approaches

Images of Change Managers Approach

This framework maps managerial roles based on level of control and predictability of outcomes.

Sometimes managers are like **bosses (Director)**, sometimes like **teachers (Coach)**, sometimes like **guides (Navigator/Interpreter)**, and sometimes they just **adapt to change (Caretaker/Nurturer)**.

		Images of managing How managers act	
		Controlling ... (activities)	Shaping ... (capabilities)
Images of change outcomes Type of outcome	Intended	DIRECTOR control and direct change	COACH guide, support, and influence people
	Partially Intended Some control, not everything	NAVIGATOR	INTERPRETER
	Unintended	CARETAKER	NURTURER

Innovation



Innovation

- What is innovation?
 - refers to the implementation of a new or significantly improved product or service or new organisational process
 - innovation is both a process and an outcome
- Mapping the innovation process
 - Initiation period, development period, implementation period, leading the innovation journey
- Innovation as an open process
 - involves both internal and external stakeholders, including lead users, suppliers, competitors, and online communities.

Innovation can be seen in two fundamentally different ways:

Innovation as Material Techniques

- Structured
 - Follows clear processes
- Manager-controlled
 - They decide: strategy, resources, direction
- Environment matters
 - Depends on: Culture (open vs rigid), Leadership style, Rewards & incentives

Innovation as Emergence

- Unpredictable
 - Innovation cannot be fully controlled
- Context-driven
 - depends on: timing, environment, social and organisational context
- Evolving process
 - trial and error feedback adaptation

Some managers think innovation is like a **recipe**: follow steps and you get results.
Others see it like **growing a plant**, you create conditions, but you cannot fully control how it grows.

Key takeaways

- Understanding Change
 - Stable
 - Always evolving
- Philosophy of change:
 - Parmenides vs Heraclitus
- Three main theories of change
 - Incremental model of change, Punctuated equilibrium, Continuous transformation
- Four Approaches to Managing Change
 - Lewin & OD, planned change, processual, situational
- Innovation

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